Statement 7:
Debt Statement

Gross debt and net debt are expected to be lower in every year of the forward estimates and medium term than estimated at the 2025–26 Mid-Year Economic and Fiscal Outlook (MYEFO).

Gross debt in 2026–27 is $18 billion lower than MYEFO and $173 billion lower than the 2022 PEFO. The improvement since the 2022 PEFO means more than $70 billion in avoided interest costs over the 11 years to 2032–33.

Gross debt is estimated to be 34.0 per cent of GDP at the end of 2026–27, 1.4 percentage points lower than estimated at MYEFO. Gross debt is expected to peak at 35.8 per cent of GDP at the end of 2028–29, 1.2 percentage points lower than the peak at MYEFO, before falling to 27.2 per cent in 2036–37.

Net debt in 2026–27 is expected to be 19.9 per cent of GDP, 1.5 percentage points of GDP lower than estimated at MYEFO.

Interest payments on Australian Government Securities are estimated to be $27.7 billion in 2026–27, increasing to $40.4 billion by 2029–30. Over the five years to 2029–30, total interest payments on AGS are expected to be $1.7 billion lower than estimated at MYEFO. Interest payments are lower because the lower level of gross debt more than offsets the impact of higher yields.

Statement 7 contents

Statement 7: Debt Statement

The Debt Statement provides information on Government gross debt, net debt, Australian Government Securities (AGS) issuance and interest costs.

Australian Government Securities issuance

The Australian Government finances its activities either through receipts or borrowing. When receipts fall short of payments, the Government borrows by issuing AGS.

The Australian Office of Financial Management (AOFM) is responsible for issuing AGS and managing the Government's financing activities. The AOFM exercises operational independence in the execution of its duties. Further details on the AOFM's operations can be found on the AOFM website at www.aofm.gov.au.

Estimates of AGS on issue

Estimates of AGS on issue are published in both face value and market value terms in this Statement.

- The **face value** of AGS on issue (also referred to as gross debt) is the amount the Government pays back to investors at maturity, independent of fluctuations in market prices.[38] The total face value of AGS on issue changes when new securities are issued, or when securities are repurchased or mature.

- The **market value** of AGS on issue represents the value of securities as traded on the secondary market, which changes continuously with movements in market prices (often quoted as a yield to maturity). Consistent with external reporting standards, the market value of AGS on issue is reported in the Australian Government general government sector balance sheet.

The *Commonwealth Inscribed Stock Act 1911* (CIS Act) requires the Treasurer to issue a direction stipulating the maximum face value of relevant AGS that may be on issue. Effective from 7 October 2020, the then Treasurer directed that the maximum face value of AGS that can be on issue is $1,200 billion.

38 For Treasury Indexed Bonds (TIBs), the final repayment amount paid to investors includes an additional amount to reflect the impact of inflation over the life of the security. This additional amount is not included in the calculation of face value.

Gross debt is estimated to be $1,051 billion (34.0 per cent of GDP) at 30 June 2027, increasing to $1,249 billion (35.6 per cent of GDP) at 30 June 2030. Gross debt relative to GDP is expected to be lower than at the 2025–26 MYEFO across each year of the forward estimates.

These declines relative to GDP reflect reductions in the cash financing requirement across the forward estimates, revisions to nominal GDP and lower end-of-year cash holdings by the AOFM.

Table 7.1: Estimates of AGS on issue subject to the Treasurer's Direction[(a)(b)]

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	$b	$b	$b	$b	$b
Face value – end-of-year	982.0	1,051.0	1,120.0	1,193.0	1,249.0
Per cent of GDP	33.1	34.0	35.2	35.8	35.6
Face value – within-year peak	999.9	1,053.0	1,133.0	1,198.0	1,273.0
Per cent of GDP	33.7	34.0	35.6	35.9	36.3
Month of peak	*Feb-26*	*Apr-27*	*May-28*	*Apr-29*	*May-30*
Market value – end-of-year	910.6	987.6	1,063.7	1,147.0	1,214.0
Per cent of GDP	30.7	31.9	33.4	34.4	34.6

a) The Treasurer's Direction applies to the face value of AGS on issue. This table also shows the equivalent market value of AGS that are subject to the Treasurer's Direction.
b) The stock and securities that are excluded from the current limit set by the Treasurer's Direction are outlined in subsection 51JA(2A) of the CIS Act.
Source: AOFM

Changes in AGS on issue since the 2025–26 MYEFO

The decrease in total face value of AGS on issue primarily reflects a reduced borrowing requirement, partially offset by a higher yield assumption for new issuance of AGS.

Aggregate improvements to the Government's fiscal position and lower end-of-year cash holdings by the AOFM[39] have reduced cash borrowing estimates across the forward estimates.

Conversely, recent increases in yields have influenced estimates of AGS on issue. An increase in yields increases the deficit through higher interest payments but also changes the face value of AGS required to meet the Government's financing requirements. The majority of AGS on issue comprises fixed coupon bonds. When yields rise, the price investors are willing to pay for fixed coupon bonds falls so that the rate of return on the bonds adjusts to the prevailing market price or yield. As a result, a greater face value of bonds needs to be issued to raise the same volume of funds.[39,40]

39 This impact is captured in Table 7.2 against 'Other contributors'.

40 For example, on 3 September 2025 the AOFM issued into an existing bond line with a maturity date of 21 March 2036 and a coupon rate of 4.25 per cent. The face value of issuance was $1,000 million but the proceeds received was around $1,006 million. The same Treasury Bond line was also issued on 18 March 2026 when yields were substantially higher, and $948 million was received for the same $1,000 million of face value issued.

Table 7.2: Estimates of AGS on issue subject to the Treasurer's Direction – reconciliation from the 2025–26 MYEFO to the 2026–27 Budget[(a)]

	2025-26	2026-27	2027-28	2028-29
	$b	$b	$b	$b
Total face value of AGS on issue subject to the Treasurer's Direction as at 2025-26 MYEFO	**993**	**1,069**	**1,142**	**1,213**
Factors affecting the change in face value of AGS on issue from 2025-26 MYEFO to 2026-27 Budget(b)				
Cumulative receipts decisions	3.6	1.3	0.4	-0.5
Cumulative receipts variations	-13.6	-32.4	-48.7	-49.3
Cumulative payment decisions	1.7	10.5	13.8	11.5
Cumulative payment variations	-0.2	9.3	18.2	20.3
Cumulative change in net investments in financial assets(c)	-2.2	2.0	3.2	4.5
Other contributors	-0.4	-8.7	-8.8	-6.5
Total face value of AGS on issue subject to the Treasurer's Direction as at 2026-27 Budget	**982**	**1,051**	**1,120**	**1,193**

a) End-of-year data.
b) Cumulative impact of decisions and variations from 2025–26 to 2028–29. Increases to payments are shown as positive and increases to receipts are shown as negative.
c) Change in net cash flows from investments in financial assets for policy purposes only.

Breakdown of AGS currently on issue

Table 7.3 provides a breakdown of the AGS on issue by type of security as at 1 May 2026.

Table 7.3: Breakdown of current AGS on issue

	On issue as at 1 May 2026	
	Face value	Market value
	$m	$m
Treasury Bonds(a)	878,849	791,951
Treasury Indexed Bonds	40,242	50,313
Treasury Notes	47,500	47,183
Total AGS subject to Treasurer's Direction(b)	**966,592**	**889,447**
Other stock and securities	5	5
Total AGS on issue	**966,597**	**889,452**

a) Includes Green Treasury Bonds
b) The stock and securities that are excluded from the current limit set by the Treasurer's Direction are outlined in subsection 51JA(2A) of the CIS Act.
Source: AOFM.

Treasury Bonds

As at 1 May 2026, there were 29 Treasury Bond lines on issue, with a weighted average term to maturity of around 6.6 years and the longest maturity extending to June 2054.

One Treasury Bond line is the Green Treasury Bond maturing in June 2034. The Government issued its first Green Treasury Bond in June 2024. Green Treasury Bonds provide financing or refinancing for specific government programs that progress Australia's net zero transformation and support Australia's environmental objectives. Annual Allocation and Impact Reports for Green Treasury Bonds are published on the AOFM website.

Table 7.4: Treasury Bonds on issue

Coupon Per cent	Maturity	On issue as at 1 May 2026 $m	Timing of interest payments[(a)]		
0.50	21-Sep-26	39,400	Twice yearly	21-Sep	21-Mar
4.75	21-Apr-27	39,400	Twice yearly	21-Apr	21-Oct
2.75	21-Nov-27	36,000	Twice yearly	21-Nov	21-May
2.25	21-May-28	37,900	Twice yearly	21-May	21-Nov
2.75	21-Nov-28	45,100	Twice yearly	21-Nov	21-May
3.25	21-Apr-29	43,500	Twice yearly	21-Apr	21-Oct
2.75	21-Nov-29	44,500	Twice yearly	21-Nov	21-May
2.50	21-May-30	43,000	Twice yearly	21-May	21-Nov
1.00	21-Dec-30	45,600	Twice yearly	21-Dec	21-Jun
1.50	21-Jun-31	46,000	Twice yearly	21-Jun	21-Dec
1.00	21-Nov-31	45,500	Twice yearly	21-Nov	21-May
1.25	21-May-32	43,200	Twice yearly	21-May	21-Nov
1.75	21-Nov-32	32,500	Twice yearly	21-Nov	21-May
4.50	21-Apr-33	27,700	Twice yearly	21-Apr	21-Oct
3.00	21-Nov-33	28,200	Twice yearly	21-Nov	21-May
3.75	21-May-34	25,000	Twice yearly	21-May	21-Nov
4.25	21-Jun-34	10,000	Twice yearly	21-Jun	21-Dec
3.50	21-Dec-34	29,200	Twice yearly	21-Dec	21-Jun
2.75	21-Jun-35	30,850	Twice yearly	21-Jun	21-Dec
4.25	21-Dec-35	23,900	Twice yearly	21-Dec	21-Jun
4.25	21-Mar-36	25,300	Twice yearly	21-Mar	21-Sep
4.25	21-Oct-36	22,400	Twice yearly	21-Oct	21-Apr
3.75	21-Apr-37	24,000	Twice yearly	21-Apr	21-Oct
4.75	21-Oct-37	16,900	Twice yearly	21-Oct	21-Apr
3.25	21-Jun-39	11,200	Twice yearly	21-Jun	21-Dec
2.75	21-May-41	15,900	Twice yearly	21-May	21-Nov
3.00	21-Mar-47	14,500	Twice yearly	21-Mar	21-Sep
1.75	21-Jun-51	20,600	Twice yearly	21-Jun	21-Dec
4.75	21-Jun-54	11,600	Twice yearly	21-Jun	21-Dec

a) Where the timing of an interest payment falls on a non-business day, the payment will occur on the following business day.

Source: AOFM.

Treasury Indexed Bonds

As at 1 May 2026, there were six Treasury Indexed Bond (TIB) lines on issue, with a weighted average term to maturity of around 8.6 years and the longest maturity extending to February 2050.

Table 7.5: Treasury Indexed Bonds on issue

Coupon Per cent	Maturity	On issue as at 1 May 2026 $m	Timing of interest payments[a]				
0.75	21-Nov-27	7,350	Quarterly	21-Nov	21-Feb	21-May	21-Aug
2.50	20-Sep-30	7,942	Quarterly	20-Sep	20-Dec	20-Mar	20-Jun
0.25	21-Nov-32	6,800	Quarterly	21-Nov	21-Feb	21-May	21-Aug
2.00	21-Aug-35	7,550	Quarterly	21-Aug	21-Nov	21-Feb	21-May
1.25	21-Aug-40	6,000	Quarterly	21-Aug	21-Nov	21-Feb	21-May
1.00	21-Feb-50	4,600	Quarterly	21-Feb	21-May	21-Aug	21-Nov

a) Where the timing of an interest payment falls on a non-business day, the payment will occur on the following business day

Source: AOFM.

Treasury Notes

As at 1 May 2026, there were nine Treasury Note lines on issue. Treasury Notes do not pay a coupon.

Table 7.6: Treasury Notes on issue

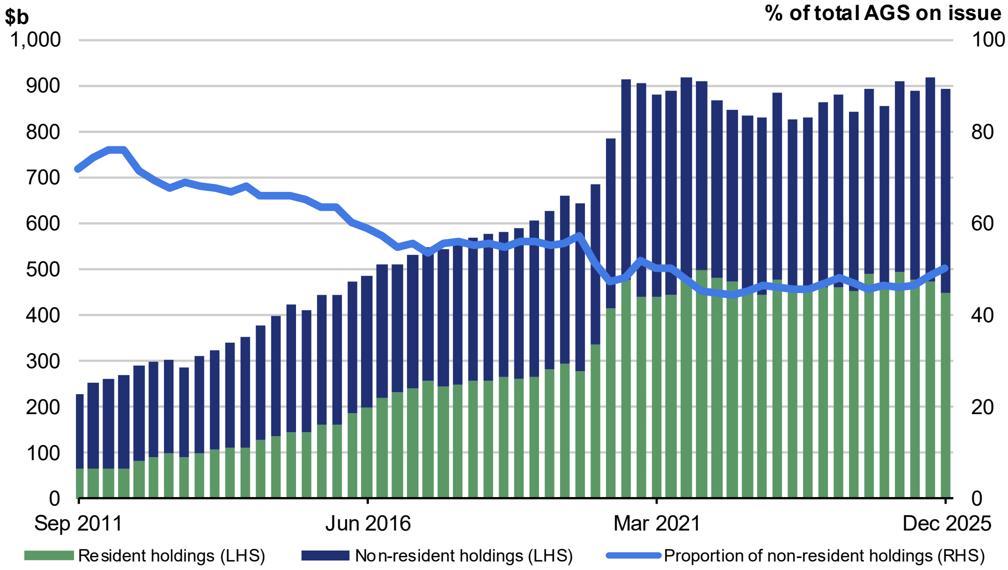
Maturity	On issue as at 1 May 2026 $m	Timing of interest payment	
8-May-26	6,500	At maturity	8-May
22-May-26	8,000	At maturity	22-May
12-Jun-26	7,000	At maturity	12-Jun
26-Jun-26	6,000	At maturity	26-Jun
10-Jul-26	5,000	At maturity	10-Jul
24-Jul-26	6,000	At maturity	24-Jul
7-Aug-26	2,000	At maturity	7-Aug
21-Aug-26	4,000	At maturity	21-Aug
11-Sep-26	3,000	At maturity	11-Sep

Source: AOFM

Non-resident holdings of AGS on issue

As at the December 2025 quarter, the proportion of non-resident holdings of AGS was 50 per cent (Chart 7.1), down from historical highs of around 76 per cent in 2012. While the value of non-resident holdings of AGS has increased significantly over this time, the proportion has fallen since the rate of buying by non-resident investors has not matched the rate of issuance. In addition, the Reserve Bank of Australia's bond purchase operations in 2020 and 2021 reduced the amount of AGS available to other investors, including non-residents.

Chart 7.1: Non-resident holdings of AGS



Note: Data refer to the repo-adjusted market value of holdings.
Source: ABS Balance of Payments and International Investment Position, Australia March 2026, AOFM, RBA.

Net debt

Net debt is equal to the sum of interest-bearing liabilities (which include AGS on issue measured at market value) less the sum of selected financial assets (cash and deposits, advances paid and investments, loans and placements). As net debt incorporates both selected financial assets and liabilities at their fair value, it provides a broader measure of the Government's financial obligations than gross debt.

Not all government assets or liabilities are included in the measurement of net debt. For example, the Government's unfunded superannuation liability is not accounted for in net debt, nor are holdings of equities, for example, those held by the Future Fund or the Government's equity investment in the NBN.

Table 7.7: Liabilities and assets included in net debt

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	$m	$m	$m	$m	$m
Liabilities included in net debt					
Deposits held	416	416	416	416	416
Government securities(a)	910,584	987,626	1,063,702	1,147,053	1,214,034
Loans	32,987	33,670	34,340	34,424	34,360
Lease liabilities	19,215	18,243	17,574	16,517	15,087
Total liabilities included in net debt	**963,202**	**1,039,955**	**1,116,032**	**1,198,411**	**1,263,897**
Assets included in net debt					
Cash and deposits	73,677	63,669	67,839	69,962	71,879
Advances paid	72,420	88,350	100,936	113,722	123,233
Investments, loans and placements	261,106	271,315	278,493	289,210	300,983
Total assets included in net debt	**407,203**	**423,335**	**447,267**	**472,893**	**496,094**
Net debt	**555,999**	**616,621**	**668,765**	**725,518**	**767,803**

a) Government securities are presented at market value.

Changes in net debt since the 2025–26 MYEFO

Net debt is expected to be lower in 2026–27, and across each year of the forward estimates compared to the 2025–26 MYEFO. The improvement in 2026–27 primarily reflects changes to the financing requirement and the impact of higher yields, which have reduced the market value of AGS on issue. As yields increase, the fixed income stream from existing Treasury Bonds becomes relatively less attractive to investors, which results in a lower market value.

Table 7.8: Net debt – reconciliation from the 2025–26 MYEFO to the 2026–27 Budget

	2025-26	2026-27	2027-28	2028-29
	$b	$b	$b	$b
Net debt as at 2025-26 MYEFO	**587.5**	**646.9**	**700.4**	**754.8**
Changes in financing requirement	-10.7	-21.5	-29.4	-32.1
Impact of yields on AGS	-21.2	-18.7	-15.1	-11.3
Asset and other liability movements	0.5	10.0	12.9	14.1
Cash and deposits	*-0.1*	*12.3*	*12.4*	*14.0*
Advances paid	*1.4*	*-0.4*	*-0.1*	*-0.7*
Investments, loans and placements	*-0.2*	*-1.1*	*1.8*	*2.1*
Other movements	*-0.6*	*-0.8*	*-1.3*	*-1.3*
Total movements in net debt from 2025-26 MYEFO to 2026-27 Budget	**-31.5**	**-30.3**	**-31.6**	**-29.3**
Net debt as at 2026-27 Budget	**556.0**	**616.6**	**668.8**	**725.5**

Interest on AGS

Estimates of the interest payments and expense of AGS on issue include the cost of AGS already on issue and future AGS issuance.

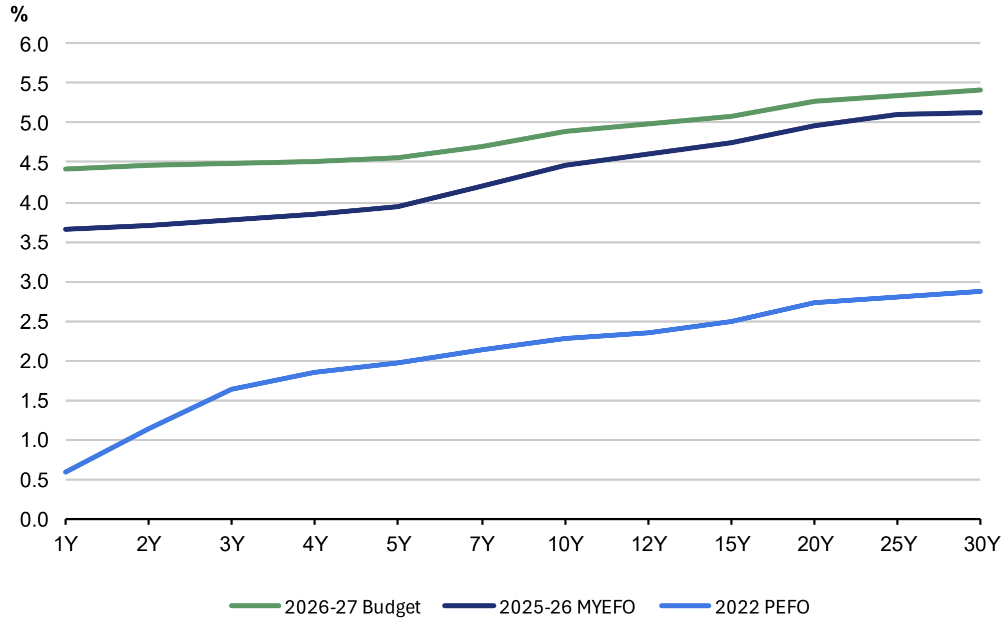
- The cost of AGS already on issue reflects the actual yield at the time of issuance.
- The expected cost of future AGS issuance is based on a recent average of daily spot rates across the yield curve at the time of a budget estimates update.

Interest payments on AGS are estimated to be lower across the forward estimates compared to the 2025–26 MYEFO. The decrease is driven by lower issuance of debt compared to MYEFO, and is partially offset by the impact of higher yields.

Chart 7.2 shows the yield curve assumptions underpinning the 2022 PEFO, 2025–26 MYEFO and 2026–27 Budget. Yields have increased across the yield curve since the 2025–26 MYEFO. In addition, the yield curve has flattened as yields on short tenor securities have increased more significantly than those with a longer tenor.

The assumed weighted average cost of borrowing has increased to 4.8 per cent for future issuance of Treasury Bonds over the forward estimates in this update. This is higher than the assumed weighted average yields of 4.4 per cent at the 2025–26 MYEFO and 2.2 per cent at the 2022 PEFO.

Chart 7.2: Yield curve assumptions from 2026–27 to 2029–30



Source: Treasury.

By the end of the forward estimates total interest payments are estimated to be $42.3 billion, of which $40.4 billion relates to AGS on issue (Table 7.9). Compared to the 2025–26 MYEFO, total interest payments as a share of GDP are estimated to improve slightly across the forward estimates.

Interest receipts as a share of GDP are estimated to remain unchanged in each year of the forward estimates compared to the 2025–26 MYEFO.

Net interest payments as a share of GDP are estimated to improve to 0.6 per cent in 2026–27, and remain lower across the forward estimates, compared to the 2025–26 MYEFO.

Table 7.9: Interest payments, interest receipts and net interest payments(a)

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	$m	$m	$m	$m	$m
Interest payments on AGS	25,220	27,690	34,589	36,226	40,425
Per cent of GDP	0.9	0.9	1.1	1.1	1.2
Interest payments(b)	27,058	29,566	36,364	38,026	42,264
Per cent of GDP	0.9	1.0	1.1	1.1	1.2
Interest receipts	9,329	9,636	9,696	10,056	10,538
Per cent of GDP	0.3	0.3	0.3	0.3	0.3
Net interest payments(c)	17,729	19,930	26,668	27,970	31,726
Per cent of GDP	0.6	0.6	0.8	0.8	0.9

a) Interest payments and receipts are a cash measure, with the relevant amount recognised in the period in which the interest payment is made or interest is received.
b) Interest payments include interest payments on AGS, loans and other borrowing, as well as interest payments on lease liabilities.
c) Net interest payments are equal to the difference between interest payments and interest receipts.

Interest costs related to AGS are also presented on accrual accounting terms. The difference between the cash interest payments and accrual interest expense generally relates to the timing of when the interest cost is recognised.

- Interest payments are recognised in the period when they are paid during the life of the security.
- Interest expense is recognised in the period in which an expense is incurred during the life of the security, rather than when it is actually paid.

Table 7.10 shows changes in interest expense, interest income and net interest expense over the forward estimates.

Table 7.10: Interest expense, interest income and net interest expense[(a)]

	Estimates				
	2025-26	2026-27	2027-28	2028-29	2029-30
	$m	$m	$m	$m	$m
Interest expense on AGS	27,619	31,876	36,911	41,855	46,863
Per cent of GDP	0.9	1.0	1.2	1.3	1.3
Total interest expense(b)	38,310	43,364	48,806	51,533	55,720
Per cent of GDP	1.3	1.4	1.5	1.5	1.6
Interest income	10,216	11,224	11,697	12,433	13,339
Per cent of GDP	0.3	0.4	0.4	0.4	0.4
Net interest expense(c)	28,094	32,140	37,109	39,100	42,381
Per cent of GDP	0.9	1.0	1.2	1.2	1.2

a) Interest expense is an accrual measure, with the relevant amount recognised in the period in which the expense is incurred, but not necessarily paid.
b) Interest expense includes interest expense on AGS, loans and other borrowing, as well as interest expense on lease liabilities and other financing costs (including debt not expected to be repaid (DNER)).
c) Net interest expense is equal to the difference between interest expenses and interest income.